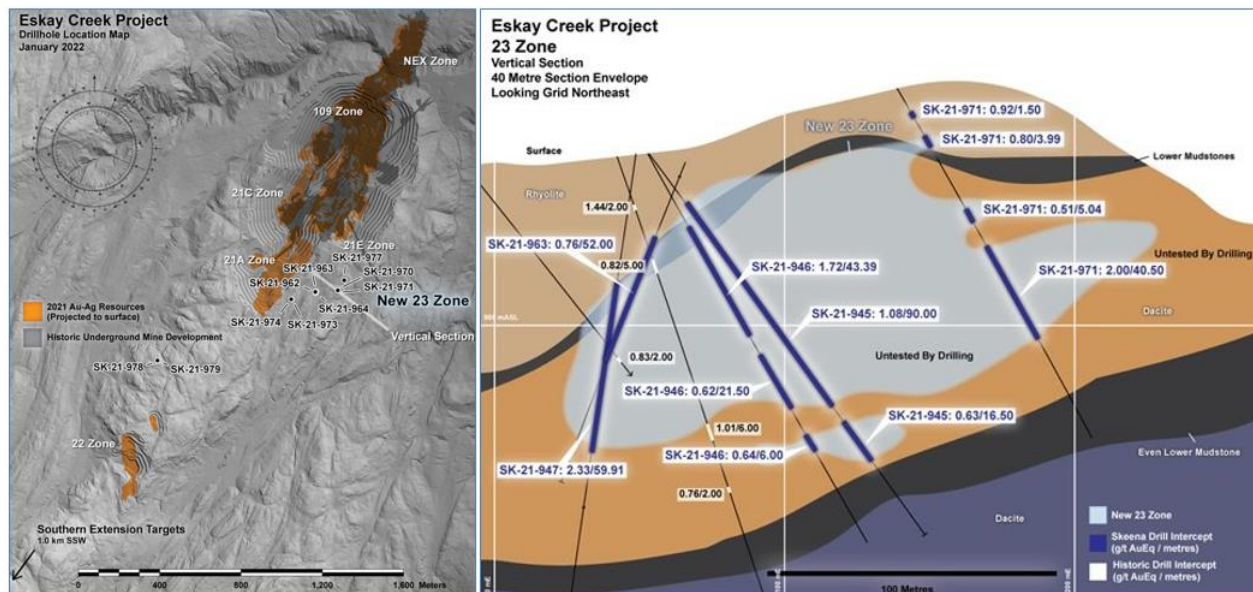


Ticker: SKE CN **Cash:** C\$74m **Project:** Eskay Creek
Market cap: C\$1059m **Price:** C\$15.85/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET (unc):** C\$19.50/sh **RISK RATING:** HIGH

Today's bulk **40.5m @ 2.0g/t AuEq** in the new 23 Zone is a good follow on from last week's discovery intercepts (i.e. 59.9m @ 2.3g/t and 90m @ 1.1g/t AuEq)—all outside the MRE. This discovery is shaping up quickly to be an ounce contributor to overall LOM, albeit it will have less impact on ounces per annum / NPV as its lower grade than core 4-4.5g/t, so we think it backfills the production schedule. Important here is that these hits are shallow for low strip and in the dacite host (good met). Looking forward, the critical catalyst here is drilling / DFS, working hand in hand to target LOM production approaching 400koz pa AuEq or more if satellites like this continue to deliver. Permitting could be a material catalyst also as Skeena has truly partnered with the Tahltan to the benefit of all parties. As such, we **maintain our 0.8xNAV multiple and C\$19.50/sh PT based** on 65% gearing, although given flexibility on anything from exploration spend to divestments and alternative financing such as silver streaming, this is only an approximation for now.

Figure 1. Eskay Creek project (A) plan map (B) 23 Zone x-section showing today's results



Source: Skeena

New 23 Zone expands with 40.5m @ 2.0g/t (inc 0.5m @ 16.8g/t AuEq) outside the MRE

Skeena reported results from 13 holes drilled in the 23 Zone highlighting bulk **40.5m @ 2.0g/t AuEq** extending mineralization up-dip 90m, **52m @ 0.8g/t AuEq**, and **7.5m @ 3.1g/t AuEq** outside the current MRE. Drilling in the southern extension targets returned **no substantial grades** in these specific locations. Results from an additional 28 holes are pending assay. The outstanding meterage for the regional exploration program will be drilled once the Albino Waste Facility drill program has been completed in Q2 2022.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1H22: Permitting update

- 1Q22: BFS including expanded resource
- 1H/2H22: AWF infill / expansion drilling

Research

Brock Salier (London) M: +44 7400 666 913 bsalier@sprott.com

Justin Chan (London) M: +44 7554 784 688 jchan@sprott.com

Brandon Gaspar (Toronto) M: +1 437 533 3142 bgaspar@sprott.com

Eleanor Magdzinski (Toronto) M: +1 705 669 7456 emagdzinski@sprott.com

Ticker: SKE CN Author: B Salier/ B Gaspar		Price / mkt cap: C\$15.85/sh, C\$1059 Rec / 0.8xNAV PT: BUY, C\$19.5/sh		Project PNAV today: 0.68x 1xNAV_{1Q22} FF FD: BUY, C\$23.39/sh		Asset: Eskay Creek / Snip Country: Canada: BC	
Commodity price		CY18A	CY19A	CY20A	CY21E	CY22E	
Gold price		1,850	1,850	1,850	1,850	1,850	
SOTP project valuation*							
		C\$m	O/ship	NAVx	C\$/sh		
Ungeared proj. @ build start (2Q22)		1,749	100%	1.00x	23.27		
Net cash 3Q21 + Franco proceeds		74	100%	1.00x	0.98		
Cash from options		85	100%	1.00x	1.13		
Eskay Ck resources ex reserve @US\$50/oz		88	100%	1.00x	1.16		
Snip (US\$75/oz)		62	100%	1.00x	0.82		
Asset NAV5% C\$1850/oz		2,057			27.4		
*Shares diluted for options but not mine build							
Market P/NAV _{5%Q22}					0.60x		
*Cash from options expiring pre first pour							
Asset value: 1xNPV project @ build start (C\$m, ungeared)*							
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
10.0% discount		1,569	1,650	1,761	1,873	1,984	
7.5% discount		1,746	1,838	1,962	2,085	2,208	
5.0% discount		1,952	2,057	2,195	2,333	2,471	
Ungeared project IRR:		65%	66%	69%	73%	76%	
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
3.7g/t AuEq		1,620	1,746	1,871	1,963	2,087	
4.1g/t AuEq		1,952	2,057	2,195	2,333	2,471	
4.5g/t AuEq		2,249	2,401	2,552	2,703	2,854	
NPV5 (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
Payability: 67%		1,620	1,746	1,871	1,963	2,087	
Payability: 75%		1,952	2,057	2,195	2,333	2,471	
Payability: 82%		2,249	2,401	2,552	2,703	2,854	
*Project level NPV, excl finance costs and central SGA, discounted to build start							
Group valuation over time^		1Q22	1Q23	1Q24	1Q25	1Q26	
Eskay Creek (C\$m)		1,749	2,086	2,451	2,205	1,959	
Net cash prior qtr (C\$m)		26	7	(272)	49	364	
G&A and finance costs (C\$m)		(163)	(145)	(130)	(102)	(78)	
Cash from options (C\$m)		85	85	85	85	85	
Snip		62	62	62	62	62	
NAV FF FD (C\$m)		1,758	2,094	2,196	2,300	2,391	
1xNAV _{5%} /sh FF FD (C\$/sh)		23.39^	27.85^	24.36^	25.51^	26.53^	
Equity ROI from spot (% pa)			76%	33%	27%	23%	
Gearred company NAV diluted for mine build, net G&A and finance costs							
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
10.0% discount		19.41	20.63	22.31	23.99	25.68	
7.5% discount		21.06	22.39	24.18	25.98	27.79	
5.0% discount		22.90	24.36	26.29	28.22	30.16	
Gearred project IRR:		59%	60%	64%	67%	70%	
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
Payability: 67%		18.20	19.94	21.67	22.95	24.68	
Payability: 75%		22.90	24.36	26.29	28.22	30.16	
Payability: 82%		27.13	29.26	31.39	33.53	35.67	
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity							
Production		Y1	Y2	Y3	Y4	Y5	
Gold production (000oz)		341	382	431	527	477	
C1 cost (US\$/oz)		511	618	565	504	511	
AISC cost (US\$/oz)		559	666	608	540	549	
AISC = C1 + ug sustaining capex; Y1 = 12M to Dec 2024							

Share data							
Basic shares (m)		66.8					FD with build equity raise 90.1
FD with options (m)		75.2					
Ratio analysis		CY21E	CY22E	CY23E	CY24E	CY25E	
Average shares out (m)		91.0	78.3	80.2	80.2	80.2	
EPS (C\$/sh)		-	-	-	4.07	3.31	
CFPS (C\$/sh)		-	-	-	4.01	3.92	
EV (C\$m)		1,418.7	1,236.0	1,544.2	1,270.6	1,270.6	
FCF yield (%)		-	-	-	25%	25%	
PER (x)		-	-	-	3.9x	4.8x	
P/CF (x)		-	-	-	4.0x	4.0x	
EV/EBITDA (x)		-	-	-	2.7x	2.5x	
Income statement		CY21E	CY22E	CY23E	CY24E	CY25E	
Net revenue (C\$m)		-	-	-	672.9	754.2	
Gross profit (C\$m)		-	-	-	507.5	537.4	
D&A, attrib (C\$m)		0.2	-	-	54.2	62.4	
Admin (C\$m)		20.8	16.0	16.0	16.0	16.0	
Expensed exploration (C\$m)		92.1	15.0	-	-	-	
Finance cost (C\$m)		(0.2)	-	(4.6)	23.1	17.5	
Royalty (C\$m)		-	-	-	12.3	13.8	
Forex, other (C\$m)		(9.1)	-	-	-	-	
Taxes (C\$m)		-	-	-	75.5	162.0	
Net income (C\$m)		(103.8)	(31.0)	(11.4)	326.4	265.7	
Cash flow, attrib.		CY21E	CY22E	CY23E	CY24E	CY25E	
EBIT (C\$m)		(104.0)	(31.0)	(16.0)	425.0	445.2	
Add back D&A (C\$m)		0.2	-	-	54.2	62.4	
Less tax + net interest (C\$m)		(0.2)	-	(4.6)	98.6	179.5	
Net change in wkg cap (C\$m)		(5.9)	-	-	(53.1)	(6.3)	
Add back other non-cash (C\$m)		3.7	6.5	6.5	6.5	6.5	
Cash flow ops (C\$m)		(105.7)	(24.5)	(4.9)	334.0	328.3	
PP&E - build + sust. (C\$m)		(8.1)	(229.3)	(258.7)	(12.6)	(14.0)	
PP&E - expl'n (C\$m)		(0.5)	-	(15.2)	-	-	
Cash flow inv. (C\$m)		(8.6)	(229.3)	(273.9)	(12.6)	(14.0)	
Share issue (C\$m)		96.0	235.0	-	-	-	
Proceeds from sale (C\$m)		5.0	-	-	-	-	
Debt draw (repay) (C\$m)		-	97.1	194.1	-	(97.1)	
Cash flow fin. (C\$m)		101.0	332.1	194.1	-	(97.1)	
Net change in cash (C\$m)		(13.3)	78.3	(84.7)	321.4	217.3	
EBITDA (C\$m)		(103.6)	(31.0)	(16.0)	479.2	507.6	
Balance sheet		CY21E	CY22E	CY23E	CY24E	CY25E	
Cash (C\$m)		25.6	103.9	19.2	340.7	558.0	
Acc rec, inv, prepaid (C\$m)		7.3	7.3	7.3	53.6	63.8	
PP&E + other (C\$m)		101.0	330.4	604.3	562.7	514.2	
Total assets (C\$m)		134.0	441.6	630.8	957.0	1,136.0	
Debt (C\$m)		1.6	98.7	292.8	292.8	195.7	
Accounts payable (C\$m)		16.7	16.7	16.7	10.0	13.7	
Others (C\$m)		7.4	7.4	7.4	7.4	7.4	
Total liabilities (C\$m)		25.7	122.7	316.9	310.1	216.8	
Sh'hlds equity + wrmts (C\$m)		335.9	577.4	583.9	590.4	590.4	
Retained earn'gs + rsvs (C\$m)		(227.6)	(258.6)	(270.0)	56.4	322.2	
Liabilities + equity (C\$m)		134.0	441.6	630.8	957.0	1,136.0	

Source: SCP estimates

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Summary of Recommendations as of January 2022	
BUY:	50
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	1
NOT RATED:	0
TOTAL	51

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